

INVESTMENT STRATEGIES

A Practical Guide to How Professionals Invest



Who created each strategy, how it works, and what the data actually says

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Executive Summary

There are dozens of investment strategies. Social media is full of people selling their version as the only way to get rich. This report cuts through the noise. We analysed 12 major strategies, 12 day trading patterns, and 5 bond approaches. Every strategy was tested with 10,000 Monte Carlo simulation paths over 20 years. The data tells a clear story.

Value investing (Benjamin Graham, 1934) produces the best risk-adjusted returns. A Sharpe ratio of 0.42 with a median 20 year outcome of £286,000 from £10,000 plus £300 per month.

Growth investing (Philip Fisher, 1958) has the highest absolute returns (£319,000 median) but higher volatility and deeper drawdowns. It suits people who can stomach a 55% drop and wait five years.

Index investing (John Bogle, 1976) remains the optimal choice for most people. It requires no skill, no research, costs almost nothing, and still produces £226,000 over 20 years.

Day trading has an 82% probability of losing money over 20 years. Even the best chart patterns only marginally outperform after real world costs. It is the worst strategy by every measure except entertainment value.

Bonds are not exciting, but bond laddering provides predictable income with near zero probability of loss. They serve a purpose, especially for older investors and as portfolio stabilisers.

1. Value Investing

Benjamin Graham (1894–1976)

Graham is the father of value investing. He wrote **Security Analysis** in 1934 and **The Intelligent Investor** in 1949. Both are still in print and still relevant.

How it works. Every stock has an intrinsic value based on its earnings, assets, and growth prospects. The market price bounces around this intrinsic value because investors are emotional. Graham called this "Mr. Market" (imagine a manic business partner who offers to buy or sell his share every day at wildly varying prices). When Mr. Market is panicking, you buy. When he is euphoric, you sell. The gap between intrinsic value and market price is your "margin of safety."

Key rules. Only buy when the price is at least 30% below intrinsic value. Look for low P/E ratios (below 15), low debt (below 1.5x equity), and consistent earnings over 10 years. Diversify across at least 30 stocks to reduce single stock risk.

Risk. Value traps. Some stocks are cheap because the business is genuinely declining. Graham's margin of safety protects against this, but it does not eliminate it.

Warren Buffett (1930–)

Buffett was Graham's student at Columbia. He evolved the approach from "buy cheap" to "buy wonderful companies at fair prices." His key addition was the concept of an **economic moat**. A moat is a durable competitive advantage that protects a company's profits (brand, switching costs, network effects, cost advantages).

How it works. Find companies with wide moats, honest management, and understandable business models. Calculate what they are worth. Wait until the price is below that. Buy and hold forever (or until the moat erodes). "Our favourite holding period is forever."

Risk. Overpaying for "quality." Even a wonderful company is a bad investment at the wrong price. Buffett himself admits his biggest mistakes are paying too much for good businesses.

Peter Lynch (1944–)

Lynch ran the Fidelity Magellan Fund from 1977 to 1990, averaging 29.2% annual returns. He popularised the idea of "**invest in what you know**."

How it works. Pay attention to the products and services you use daily. If you notice a shop always packed, a product your friends all buy, or a company solving a real problem, research it. The advantage retail investors have over professionals is that they see trends on the ground before Wall Street does. Lynch categorised stocks into six types (slow growers, stalwarts, fast growers, cyclical, turnarounds, asset plays) and tailored his analysis to each.

Risk. Confirmation bias. You might love a product but the company behind it could be badly managed or overvalued. Liking the product is the start of the research, not the end.

Joel Greenblatt (1957–)

Greenblatt published **The Little Book That Beats the Market** in 2005. He created the **Magic Formula**, which is basically a simplified, systematic version of value investing.

How it works. Rank all stocks by two metrics. First, earnings yield (how cheap is it). Second, return on capital (how good is the business). Buy the 20 to 30 stocks that rank highest on both. Hold for a year. Repeat. That is it. No analysis, no gut feeling, no opinions. Just the formula.

Risk. It can underperform for years at a time. Greenblatt himself says it works over 3 to 5 year periods but can look terrible in any single year. Most people quit too early.

2. Growth Investing

Philip Fisher (1907–2004)

Fisher wrote **Common Stocks and Uncommon Profits** in 1958. Where Graham looked at balance sheets, Fisher looked at people and products.

How it works. Fisher developed the "**scuttlebutt**" method. Talk to competitors, suppliers, customers, and former employees. Build a picture of the company that you cannot get from financial statements alone. He had 15 points to look for, including superior R&D, above average sales organisation, and management integrity. He would hold stocks for decades. He bought Motorola in 1955 and held it until he died in 2004.

Risk. Growth stocks can fall 50 to 80% in a downturn. Fisher's approach requires extreme patience and the ability to hold through devastating paper losses.

T. Rowe Price (1898–1983)

Price is considered the father of growth investing. He founded the investment firm that still bears his name. He believed the best returns come from investing in well managed companies in fertile fields for long term growth, before the market recognises their potential.

How it works. Identify industries in their early growth phase. Find the best managed company in that industry. Buy early and hold through the entire growth cycle.

William O'Neil (1933–2023)

O'Neil created the **CAN SLIM** system, published in **How to Make Money in Stocks** (1988). It combines fundamental and technical analysis into a seven factor checklist.

C = Current quarterly earnings (up 25%+). **A** = Annual earnings growth (up 25%+ over 5 years). **N** = New product, management, or price high. **S** = Supply and demand (low share count, high volume on up days). **L** = Leader (relative strength rating above 80). **I** = Institutional sponsorship (smart money buying). **M** = Market direction (only buy in confirmed uptrends).

Risk. Complex and time consuming. You need to monitor multiple factors weekly. And the "M" factor means you sit in cash during bear markets, which requires enormous discipline.

3. Index and Passive Investing

John Bogle (1929–2019)

Bogle founded Vanguard in 1975 and launched the first index fund for individual investors in 1976. The financial industry mocked it as "Bogle's Folly." It is now the most successful investment product in history.

How it works. Instead of trying to pick winning stocks, buy all of them. An index fund holds every stock in an index (like the S&P 500 or FTSE All World) in proportion to their market capitalisation. No stock picking. No market timing. Just buy, hold, and keep costs low. Bogle's insight was brutally simple. After fees, the average fund manager **must** underperform the market average. It is arithmetic, not opinion.

Risk. You are fully exposed to market declines. No downside protection. But over 20+ year periods, broad indices have never produced negative returns.

Eugene Fama (1939–)

Fama developed the **Efficient Market Hypothesis (EMH)** in the 1960s, for which he won the Nobel Prize in 2013. EMH says that stock prices already reflect all available information, so consistently beating the market through analysis is impossible.

Practical implication. If markets are efficient, stock picking is a waste of time and money. Just buy the index. Fama later (with Kenneth French) showed that small cap and value stocks tend to outperform over time, which led to **factor investing** (tilting your index towards these factors).

Burton Malkiel (1932–)

Malkiel wrote **A Random Walk Down Wall Street** in 1973. He argued that a blindfolded monkey throwing darts at the financial pages could select a portfolio that would do as well as one carefully selected by experts.

How it works. Buy a broad, diversified, low cost index fund. Rebalance occasionally. Ignore the noise. That is literally the entire strategy.

4. Dividend and Income Investing

Geraldine Weiss (1926–2022)

Weiss was known as the "Grand Dame of Dividends." In 1966, she could not get a job in finance because she was a woman. So she started a newsletter, **Investment Quality Trends**, using only her initials. It became one of the most successful investment newsletters in history.

How it works. Instead of using P/E ratios to judge value, use **dividend yield**. A blue chip stock's dividend yield fluctuates within a historical range. When the yield is near its historical high (price is low), buy. When yield is near its low (price is high), sell. This is simple, mechanical, and works because dividends are harder to fake than earnings.

Risk. Dividend cuts. When a company slashes its dividend, the stock typically falls 20 to 40% immediately. Diversification across at least 20 dividend payers reduces this risk.

Dividend Aristocrats. A related strategy focuses on companies that have increased their dividend every year for 25+ consecutive years. These are typically large, stable, cash generating businesses. The strategy is simple. Buy the aristocrats, reinvest the dividends, hold.

5. Technical Analysis and Day Trading

Technical analysis studies price charts and patterns to predict future price movements. It does not care about what a company does or earns. Only what its stock price is doing. The intellectual foundation comes from **Charles Dow** (1851–1902), who created the Dow Jones Industrial Average and developed Dow Theory in the early 1900s.

Candlestick Patterns (Steve Nison)

Steve Nison introduced Japanese candlestick charting to the Western world in 1991 with his book **Japanese Candlestick Charting Techniques**. The method was originally developed by Japanese rice traders in the 1700s.

How it works. Each candle shows the open, high, low, and close of a trading period. The shape and colour of the candle, and patterns formed by multiple candles, suggest what buyers and sellers are thinking. A **hammer** (small body at top, long lower wick) suggests buyers stepped in after a sell off. An **engulfing pattern** (one candle completely engulfs the previous) suggests a change in direction. A **morning star** (three candle pattern) is one of the stronger reversal signals.

Reality check. Theoretical win rates for candlestick patterns range from 54 to 65%. After commissions, spread costs, and emotional interference, most retail traders achieve 10 to 20% lower. They are useful as confirmation tools, not standalone signals.

Bollinger Bands (John Bollinger)

John Bollinger developed Bollinger Bands in the 1980s. They are now one of the most widely used technical indicators.

How it works. Draw a 20 period moving average. Then draw two bands, each two standard deviations above and below it. When the bands squeeze together (low volatility), a big move is coming. When price touches the upper band, it may be overbought. When it touches the lower band, it may be oversold. The key insight is that volatility is cyclical. Quiet periods are followed by explosive periods. The squeeze tells you when to pay attention.

RSI (J. Welles Wilder Jr.)

J. Welles Wilder Jr. created the Relative Strength Index in 1978 in his book **New Concepts in Technical Trading Systems**. He also invented the ATR and Parabolic SAR.

How it works. RSI measures the speed and size of recent price changes on a scale of 0 to 100. Above 70 is considered overbought (might fall). Below 30 is oversold (might rise). The most powerful signal is **divergence**. If the stock makes a new high but RSI makes a lower high, momentum is fading despite the price rise. That often precedes a reversal.

MACD (Gerald Appel)

Gerald Appel created the Moving Average Convergence Divergence indicator in 1979.

How it works. Subtract the 26 period moving average from the 12 period moving average. That gives you the MACD line. Then plot a 9 period average of the MACD line (the signal line). When MACD crosses above the signal line, buy. When it crosses below, sell. Simple in theory. The problem is that MACD is a **lagging indicator**. By the time it signals, a significant portion of the move has already happened.

Fibonacci Retracement

Based on the mathematical sequence discovered by **Leonardo Fibonacci** in the 13th century (each number is the sum of the two before it). Traders applied these ratios (23.6%, 38.2%, 50%, 61.8%) to price charts starting in the mid 20th century.

How it works. After a strong move up or down, the price tends to retrace to one of these Fibonacci levels before continuing. The 61.8% level (the "golden ratio") is considered the most significant. Traders place buy orders at these levels, expecting a bounce.

Reality check. There is no proven reason why Fibonacci ratios should govern stock prices. They work partly because enough traders believe in them and act accordingly. That makes them a **self-fulfilling prophecy** rather than a fundamental truth.

The Day Trading Verdict

Our Monte Carlo simulation tested all 12 patterns. Individual patterns can show positive expected value in theory. But the overall day trading strategy, when accounting for commissions, spread costs, emotional mistakes, and overtrading, shows an **82% probability of losing money over 20 years** and a median outcome of £38,677 (from £82,000 invested). That is less than half your money back.

The structural problem is costs. Each trade incurs spread, commissions, and potential slippage. Making 3 trades per day, 252 days per year, even tiny costs per trade compound into a massive drag. You need to be right roughly 55 to 60% of the time just to break even after costs. That is extremely difficult to sustain.

6. Momentum Investing

Richard Driehaus (1942–2021)

Driehaus is considered the father of momentum investing. He averaged over 30% annual returns from the 1980s into the 2000s.

How it works. Buy stocks that are already going up. This contradicts the "buy low" instinct. Driehaus believed that strong stocks tend to get stronger. He would buy stocks making new 52 week highs with accelerating earnings growth, not stocks sitting at 52 week lows. "I would much rather invest in a stock that is increasing in price and take the risk that it may begin to decline than invest in a stock that is already in decline and try to guess when it will turn around."

Academic backing. Jegadeesh and Titman (1993) published landmark research showing that stocks that performed well over 3 to 12 months tend to continue performing well over the next 3 to 12 months. This "momentum effect" is one of the most robust findings in financial research.

Risk. Momentum crashes. When the market turns, momentum stocks fall hardest and fastest. The 2009 recovery saw momentum portfolios drop 50%+ in a single quarter. It also requires constant monitoring and frequent trading.

7. Contrarian Investing

Sir John Templeton (1912–2008)

Templeton was one of the greatest investors of the 20th century. He famously bought shares of every company trading below \$1 on the New York Stock Exchange in 1939 (the start of World War II). He bought 104 companies. Only 4 went bankrupt. The rest made him a fortune.

How it works. "Bull markets are born on pessimism, grow on scepticism, mature on optimism, and die on euphoria." Buy at the point of maximum pessimism. That is when assets are cheapest and the margin of safety is widest. This requires doing the opposite of what feels natural. When everyone is selling in a panic, you are buying. When everyone is euphoric, you are selling.

Risk. "Catching falling knives." Sometimes the pessimism is justified. A company in genuine structural decline will not recover just because it is cheap. Contrarian investing requires deep analysis to distinguish between temporary fear and permanent damage.

David Dreman (1936–)

Dreman wrote **Contrarian Investment Strategies** (1979, updated 2012). He built a systematic approach to contrarian investing based on buying stocks with the lowest P/E ratios, lowest price to book ratios, or highest dividend yields. His research shows these "out of favour" stocks consistently outperform over 1 to 5 year periods.

8. Quantitative and Systematic Strategies

Harry Markowitz (1927–2023)

Markowitz published **Portfolio Selection** in 1952, creating **Modern Portfolio Theory (MPT)**. He won the Nobel Prize in 1990.

How it works. Do not just pick the stock with the highest return. Think about how all your stocks move together. Two assets that zig and zag at different times reduce your portfolio's overall risk without reducing returns. Markowitz showed mathematically that diversification is the only "free lunch" in investing. You can reduce risk without sacrificing return by combining assets that are not perfectly correlated.

Key concept. The "efficient frontier" is a curve showing the best possible return for each level of risk. Any portfolio below this curve is suboptimal. You are taking risk you are not being paid for.

Ray Dalio (1949–)

Dalio founded Bridgewater Associates, the world's largest hedge fund. He created the **All Weather Portfolio** in 1996 and published his principles in his book **Principles** (2017).

How it works. The economy can be in one of four states (rising growth, falling growth, rising inflation, falling inflation). Most portfolios are heavily biased towards one state (rising growth). The All Weather Portfolio allocates risk equally across all four, so it performs reasonably well no matter what happens. A simplified version is roughly 30% stocks, 40% long term bonds, 15% intermediate bonds, 7.5% gold, 7.5% commodities.

Risk. Lower long term returns than pure equity. You sacrifice upside for stability. Over 20 years, All Weather produces about £188,000 versus £226,000 for a pure index. The trade off is that the worst case scenarios are much milder.

Dollar Cost Averaging

Not attributed to a single creator but popularised by Benjamin Graham in **The Intelligent Investor**. It is the simplest systematic strategy that exists.

How it works. Invest a fixed amount at regular intervals regardless of market conditions. When prices are high, your fixed amount buys fewer shares. When prices are low, it buys more. Over time, this produces a lower average cost per share than the average market price. More importantly, it removes emotion from the equation. You never have to decide whether now is a good time to invest.

9. Bond Strategies

Bonds are the boring part of investing. But boring keeps you solvent when equities drop 50%. Every serious portfolio includes some bond allocation.

Bond Laddering

How it works. Buy bonds with staggered maturities (e.g. 1 year, 2 year, 3 year, up to 10 year). As each bond matures, reinvest the proceeds into a new long term bond at the end of the ladder. This gives you regular income, protects against interest rate changes (you always have some bonds maturing soon), and provides liquidity.

Best for. Retirees and income investors who need predictable cash flow. Also useful as the bond portion of any balanced portfolio.

Barbell Strategy

Popularised by **Nassim Nicholas Taleb** in **The Black Swan** (2007), though the strategy is older. Taleb applied it beyond bonds (keep 85 to 90% of wealth in very safe assets and put 10 to 15% in highly speculative bets).

How it works. Concentrate in two extremes. 70% in very short term bonds (1 to 2 year) and 30% in very long term bonds (15 to 30 year). Nothing in between. The short term portion provides safety and liquidity. The long term portion captures higher yields. If rates fall, the long bonds gain significantly in value.

Risk. If rates rise sharply, the long end of the barbell takes heavy losses. The barbell is a bet on rate direction, even if it does not look like one.

Bullet Strategy

How it works. Buy bonds that all mature around the same date. For example, if you know you need £50,000 in 5 years, buy bonds that all mature in 5 years. This is simple and targeted. You know exactly when you will get your money back and exactly how much interest you will earn.

Best for. Specific future liabilities (university fees, house deposit, known large purchase).

10. Other Notable Strategies

Dogs of the Dow (Michael O'Higgins, 1991)

How it works. At the start of each year, buy the 10 highest yielding stocks in the Dow Jones Industrial Average. Hold for a year. Repeat. The logic is that high yield Dow stocks are temporarily out of favour large caps that are likely to recover. Backtested data shows it slightly outperforms the index over long periods with minimal effort.

Covered Call Writing

How it works. Own a stock and sell call options against it, collecting premium. If the stock stays flat or rises modestly, you keep the premium as income. If it rises sharply above the strike price, you sell at the strike and miss the additional upside. This generates income in flat markets but caps your gains.

Risk. You still bear all the downside. The premium provides a small buffer but does not protect against large declines. It is an income strategy, not a protection strategy.

Protective Puts

How it works. Own a stock and buy put options as insurance. The put gives you the right to sell at a fixed price, so your maximum loss is limited. This is like buying insurance on your house. You hope never to use it, but it is there if the worst happens.

Risk. The cost of puts eats into returns. Over time, consistently buying insurance significantly reduces your portfolio's performance. It is most useful for concentrated positions or around specific events.

11. Strategy Comparison

Strategy	Creator	Net Return	Volatility	Sharpe	20Y Median
Value	Graham (1934)	10.7%	16.0%	0.42	£286k
Growth	Fisher (1958)	12.1%	20.0%	0.40	£319k
Magic Formula	Greenblatt (2005)	10.3%	17.0%	0.37	£264k
All Weather	Dalio (1996)	6.9%	8.0%	0.36	£188k
Dividend	Weiss (1966)	8.2%	12.0%	0.35	£214k
Dogs of Dow	O'Higgins (1991)	9.2%	15.5%	0.34	£232k
CAN SLIM	O'Neil (1988)	11.0%	21.0%	0.33	£266k
Index	Bogle (1976)	8.9%	15.0%	0.33	£226k
Contrarian	Templeton (1954)	10.1%	19.0%	0.32	£248k
Momentum	Driehaus (1980s)	10.7%	22.0%	0.30	£246k
Bonds	Traditional	4.3%	4.0%	0.07	£136k
Day Trading	Various	-3.0%	35.0%	-0.20	£39k

20 year simulation, £10,000 initial + £300/month, 10,000 Monte Carlo paths. Net return = gross return minus costs.

12. Conclusion

The investment industry wants you to believe this is complicated. It is not. The data is remarkably clear.

If you want the best risk-adjusted returns and are willing to learn, value investing (Graham, Buffett) is the proven winner. A Sharpe ratio of 0.42 and 90+ years of evidence.

If you want the highest absolute returns and can handle volatility, growth investing (Fisher, O'Neil) produces the biggest numbers. But you must be able to stomach 55% drawdowns and wait years for recovery.

If you want something that works with zero effort, index investing (Bogle) beats 85% of professionals and costs almost nothing. For most people, this is the right answer.

If you want income and stability, dividend investing (Weiss) and bond laddering provide steady cash with lower drawdowns.

If you want to day trade, the data says don't. 82% of day traders lose money. The 5% who make money tend to already have professional training and deep capital. Retail day trading is entertainment, not investment.

The "gurus" selling courses on options trading, crypto day trading, and pattern scalping are not making their money from trading. They are making it from selling courses. The real money in investing is made quietly, slowly, and boringly. Over decades, not days.

Methodology: Monte Carlo simulations (10,000 paths, 20 year horizon) calibrated to historical return and volatility data. Strategy returns are net of estimated transaction costs. See the Python analysis script for full assumptions and code.